

allocations calendar? Well, it's not fun for Mrs. Rule, either. But in Mrs. Rule's mind there are worse things, such as never being able to retire and never being financially independent. It's much easier to budget if you visualize the long-term benefits of this task.

QUESTION 2: DO YOU KNOW HOW MUCH YOUR FAMILY SPENDS EACH YEAR FOR FOOD, CLOTHING, AND SHELTER?

Almost two-thirds of the millionaires surveyed (62.4 percent) answered "yes" to this question. So did Mrs. Rule. But only about 35 percent of high-income-producing nonmillionaires answered "yes" to this question. Many of these high-income/low-net worth types have no idea how much they spend each year for such items as food consumed at home, food consumed away from home, beverages, birthday and holiday gifts (for each category of recipient), each category of clothing for each household member at each store, baby-sitters, day-care fees, line of credit use, charitable contributions, financial advice, club dues, motor vehicles and related expenses, tuition, vacations, heating and lighting, and insurance.

Notice that we did not include mortgage payments in our list. Often high-income/low-net worth respondents boast about how much money they save on taxes via their mortgage deductions. Certainly most millionaires who have mortgages outstanding also take advantage of this provision. But most millionaires also account for their other categories of domestic expenditures. Ask typical high-income/low-net worth people about their goals. What will they tell you? A major goal they often name is to minimize their tax burden; they use the mortgage deduction as a way to accomplish this. Then why don't these same people compute their other domestic expenditures? Simply because they do not perceive any value in doing so. As they see it, most of their domestic spending is not deductible in computing one's taxable income.

But Mrs. Rule sees things differently. Her goal is to become financially independent—in her case, to have \$5 million by the time she and her husband retire. She believes that budgeting and accounting for domestic consumption is directly related to achieving this goal. In her view, tabulating helps control consumption. It also reduces the probability of allocating too many dollars to product and service categories that are not really important. Mrs. Rule has always tabulated